

Investment Focus in 2011 (based on ROI vs Investment till date)

|              |                                                                        |
|--------------|------------------------------------------------------------------------|
| Mutual Funds | Massive investment needed                                              |
| FDs          | No new FDs. Just renew with adders.                                    |
| Gold         | Invest moderately more - Invest 5k 1st of every month                  |
| PF           | No investments in PPF this year (max 10k)                              |
| Stocks       | Invest more - a little moderately. Invest @ dips in all current stocks |

**Fig 7.21** *Guiding principles for investments in the coming year*

The guiding principles for investments that arose from this analysis are given below.

1. It was clear that I now needed to have a completely different strategy to invest in mutual funds. I needed to explore more options in mutual funds and also open new mutual fund SIPs. This was also clear from Fig 7.16 in the previous Step 6 since my portfolio needed rebalancing.
2. I needed to control or limit the investment in fixed deposits since they were giving me minimum returns and I had already invested a large sum in fixed deposits.
3. I needed to create a sort of SIP for my gold investments and continue to moderately invest in gold on a regular basis.
4. There was already a lot of money invested in PPF and EPF accounts and I needed to make absolutely sure that I did not block more in these accounts, except for the mandated standard deductions made by the company. No VPF, No NPS.
5. Stocks were still the best bet and I knew I needed to continue to invest at dips in stocks to maximize my returns.

All these guidelines would not have been feasible had I not done this thorough analysis of my current portfolio till date. Therefore, Step 7 is as vital as any other step to realise your dream towards financial freedom.